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The following formula is used to compute annuity factor:

$$\text{Annuity factor} = \frac{i(1+i)^n}{(1+i)^n - 1}$$

where, i = interest rate;

n = estimated life of the asset in number of years

10.7.7 Revaluation method

Under this method, the amount of annual depreciation is calculated by comparing the value of the assets at the end of the year and their value at the beginning of the year. The value of the asset at the end of the year is determined with the consultation of relevant experts. The excess of opening value over the closing value of the asset is the amount of depreciation for that year. This method is used for live stock, loose tools, etc.

10.7.8 Sinking fund method

This method is adopted especially when it is desired not merely to write off an asset but also to provide enough funds to replace an asset at the end of its working life. Under this method, the amount charged as depreciation is transferred to depreciation fund and invested outside the business. The investment is made in safe securities which offer a certain rate of interest. Interest is received annually and reinvested every year along with the amount of annual depreciation. On the expiry of the life of the asset, the investments are sold and the sale proceeds are used for replacement of the asset. This method of depreciation is suitable for assets of higher value. This method is also known as depreciation fund method. Thus, this method not only takes into account depreciation but also makes provision for the replacement of the asset.

10.7.9 Insurance policy method

Under this method, an insurance policy is taken for an amount equal to the cost of replacement of the asset. The amount of depreciation is paid by way of insurance premium every year to the insurance company. On maturity of the policy, the policy amount is received from the insurance company and it is used for the purchase of new asset.



The process of allocating the cost of an intangible asset over a period of time is called amortisation.

10.8 Methods of recording depreciation

There are two methods followed to record depreciation.

(i) Charging depreciation to asset account

(ii) Charging depreciation to provision for depreciation account.